

CONFLUENZA

Case Study · VTI — Virtual Technologies Inc.

Preparation material — Influence as a tool for cross-functional collaboration

 **VIRTU-FIT: -27% BELOW PROJECTIONS**
A crisis that demands influence, not authority.

13
Moments

12'
Per round

162
Max pts

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1. HISTORY & VISION

Oscar C. Taft worked as a consumer electronics marketing expert for 20 years developing home video games. Everyone refers to him as "O.C." since he dislikes his given name. He is the Founder and CEO of VTI, headquartered in Beacon, New York. He co-founded the company with Fuller Sealey, a former military pilot and mechanical engineer. Five years after founding, Sealey left VTI to start a company focused on military applications. O.C. then assumed the role of CEO and Chairman-of-the-Board.

VISION

Every product we design stems from innovation and cutting-edge technology. Every country recognises us as the leading provider of VR and holographic projection technology.

STRATEGY

- First to market with innovative technology
- Products of the highest technical quality
- Most engaging software on the market
- Optimal return for shareholders

2. PRODUCT LINE

Virtu-Man

VTI's first VR console for home gaming. The product that founded the business.

Virtu-Wall

Holographic wall projection system, similar to a home planetarium.

Virtu-Fit

–27% ⚠
3 generations of sports & fitness products. IN CRISIS:
–27% vs projections.

HoloRoom

Industrial 3D scene reconstruction. High-end commercial product.

3. FINANCIAL REPORT

Figures in USD millions

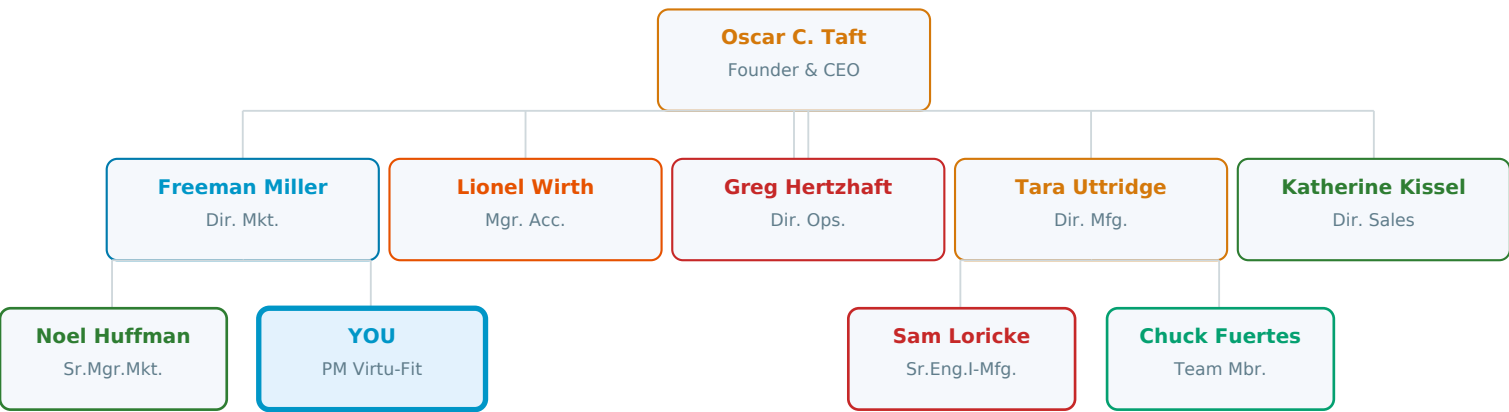
Revenue	\$550.0M	100%
Cost of Goods (COGS)	(\$275.0M)	(50%)
Gross Margin	\$275.0M	50%
SG&A Expenses	(\$247.5M)	(45%)
Operating Income	\$27.5M	5%
WACC + Taxes	(\$67.1M)	(12%)
Economic Profit	–\$39.6M	–7%
Total Assets	\$522.5M	

⚠ With \$550M revenue, VTI generates NEGATIVE Economic Profit (–\$39.6M). The Virtu-Fit crisis makes the situation worse.

ORGANISATION CHART

VTI — Virtual Technologies Inc.

4. VTI ORGANISATIONAL STRUCTURE



● Tu/You ● Alleato/Ally ● Neutrale/Neutral ● Contrario/Against

5. YOUR ROLE

You are the Virtu-Fit Product Manager in Marketing. After graduating in Marketing and spending five years at another company, you joined VTI just as the second generation of Virtu-Fit was launching. You were part of the team that developed Generation 3 and for the past three years you have been Product Manager of the line. You report to Noel Huffman.

You are well-known and respected in Marketing and have some friends in Sales, but you have not had the opportunity to build relationships across the rest of VTI. You have NO formal authority over Manufacturing, Accounting, Operations, or Sales. Your only currency is influence.

CHARACTER PROFILES

Read every profile carefully before the simulation.

6. COMPLETE PROFILES

OC

EXECUTIVE

Oscar C. Taft

Founder & CEO

Oscar C. Taft worked as a consumer electronics marketing expert for 20 years developing home video games. Everyone refers to him as "O.C." since he dislikes his given name. He is the Founder and CEO of VTI, working from headquarters in Beacon, New York. He is rarely in the office and when he is, he does not like to be disturbed with problems or bad news: he wants solutions and results.

NH

YOUR BOSS / ALLY

Noel Huffman

Sr. Marketing Manager

After 11 years with the group, Noel Huffman is genuinely popular with senior management, peers, and direct reports alike. He is always well-informed and is therefore an excellent source of intelligence. Noel Huffman leads all of VTI's Product Managers. Under his direction the function has sharpened its focus on what truly matters. Despite his apparent sociability, Noel Huffman is not driven by emotion: he always approaches problems with facts and in a detached manner.

FM

IN FAVOUR

Freeman Miller

Director, Marketing

Freeman Miller joined VTI this year. He has worked in High-Tech for almost his entire career, marked by multiple awards and recognition for the success of his marketing campaigns. His innovation orientation attracted VTI's Search Committee. He has a reputation for being a strong "Voice for Customer" within the Sales organisation. He is your direct director.

LW

NEUTRAL

Lionel Wirth

Manager, Accounting

During his 20 years with VTI, Lionel Wirth has developed a reputation for being somewhat sharp and no-nonsense, with a punitive management style. He has brought a steady stream of talented finance professionals into the department, recruiting from his own alma mater. Like most Finance leaders, Lionel Wirth tends to support and be supported by his Manufacturing counterparts. The two areas have long shared a relationship built on their mutual objective of profitability through product innovation. His focus on baseline performance has led him to launch numerous successful cost-reduction initiatives.

CHARACTER PROFILES

Read every profile carefully before the simulation.

...continued

TU

NEUTRAL

Tara Uttridge

Director, Industrial Manufacturing

Tara Uttridge began her career at VTI and has managed Manufacturing for 7 years. She gained authority by leading several innovations to the Virtu-Man production line at exactly the moment when sales were beginning to decline. Her ingenuity repositioned Virtu-Man at the top of the home console sector. She values out-of-the-box thinking and to stimulate creative thought among her engineers she reorganised I-Manufacturing into Autonomous Teams. She is an excellent communicator and often explains VTI's Vision to groups of new hires.

SL

HOSTILE

Sam Loricke

Sr. Engineer, I-Manufacturing

Sam Loricke has been at VTI for many years. He leads the high-performing working group in I-Manufacturing that sets the standards for innovation and efficiency objectives within the department. He is known and respected by senior management and is sponsored by the VP of Manufacturing. Sam Loricke is known as "The Teflon Man" for his ability to emerge from difficult situations without a scratch. He hates weakness but does not like authoritarian displays either. To reach Sam Loricke you must first reach those he respects and demonstrate strong personal conviction.

KK

IN FAVOUR

Katherine Kissel

Director, Sales

Katherine Kissel has been at VTI for 10 years and started as an Account Executive. She secured some of VTI's most important clients and firmly believes that customer satisfaction must be VTI's mission. In this, she often clashes with Manufacturing, which adheres strictly to VTI's product innovation vision. Under her leadership Sales has become more cohesive and productive, with years of above-target performance. Known as "The Velvet Hammer" for her refined persuasive skills, Katherine Kissel is respected and appreciated across VTI.

GH

AGAINST

Greg Hertzhaft

Director, Operations

Greg Hertzhaft coordinates VTI's vast distribution network and is responsible for developing it through strategic partnerships. He is respected for his technical skills but does not enjoy cultivating working relationships across VTI. Under his leadership, Operations coordinates most effectively with Finance — a natural relationship driven by both departments' focus on efficiency and cost control. The Virtu-Fit project is not his priority.

CF

YOUR CONTACT

Chuck Fuertes

Team Member, I-Manufacturing

Chuck Fuertes is your main point of contact within I-Manufacturing. He is part of the investigation team and depends on you for access to information and people within Manufacturing. He is professional and motivated, but needs your support to navigate internal resistance, particularly from Sam Loricke.

HOW THE SIMULATION WORKS

Read before starting.

7. THE VIRTU-FIT CRISIS

Today is your 6th anniversary at VTI. Noel Huffman calls with bad news: Virtu-Fit, the line you manage, is 27% below revenue projections. Forecasts were strong. Competitors are doing fine. Something is wrong. After 3 days of preliminary research, your conclusion is clear: the root cause requires a cross-functional investigation. You need people from Manufacturing, Accounting, Sales, and Operations. None of these people report to you. You have no formal authority over any of them. Your only resource is influence.

8. GAME MECHANICS

- 1

Reading — 2 minutes
Each round opens with a narrative moment. You have 2 minutes to read the context + 10 minutes to answer. You can skip by clicking "Go to Choices" if you are ready.
- 2

Select & Confirm
Click your answer — you can change your mind before confirming. The "Confirm" button activates when the selection is complete. Click Confirm to lock your answer.
- 3

Immediate Feedback
Feedback arrives instantly: your score, the correct answer if you got it wrong, and a detailed explanation of why.
- 4

Corridor Feed
Between rounds: internal emails, corridor gossip. Some are valuable clues. Some are distractions.
- 5

Bonus Mini-Challenges
Three times during the day you unlock a short social challenge: water cooler, elevator pitch, office cake, social proof. Bonus points and Likability.
- 6

Final Report
At the end you see your full report: every answer, score, correct answer, and explanation of why. Use it in the debrief.

9. SCORING

Correct single answer	10 pts	Wrong answer	0 pts
Perfect multi-select	10 pts	Partial multi-select	2-8 pts
Overtime penalty	-5 pts	Mini-challenge bonus	+2-8 pts
MAXIMUM TOTAL	~145 pts		